

2014. The previous Fed Chair was Ben Bernanke who served from February 1, 2006 to January 31, 2014. Before Bernanke, Alan Greenspan was the Fed Chair from August 11, 1987 to January 31, 2006.

The Fed traditionally implements monetary policy by intervening in the Federal funds market. This is where banks (*depository institutions*) lend or borrow money (*Fed funds*) overnight through the Fed to maintain reserve requirements. Banks with *excess reserves* lend them to other banks that need money. This market is bilateral, meaning banks needing funds seek out banks willing to lend funds on a one-to-one basis, and banks pay different rates for funds depending on who is lending and who is borrowing. Each pair of banks, therefore, borrows or lends at a different *Fed funds rate*. The *effective Fed funds rate* is the volume-weighted average of these rates across the banks. The Fed intervenes in this market through *open market operations* (a fancy term for buying and selling bonds) so that the market rates bear some resemblance to the *target federal funds rate*, which is set by the FOMC. Since December 16, 2008, the Fed has specified a *range* for the target federal funds rate of 0% to 0.25%.

Monetary policy is conducted at the very shortest end of the yield curve—the overnight market—and only among banks. But the Fed ultimately wants to influence the long end of the yield curve, with maturities of ten to thirty years and also the prices of corporate and agency debt in addition to those of long-term Treasuries. The way short-end monetary policy ultimately affects the economy is through the *transmission mechanism*.³ Since the financial crisis, the Fed has conducted *nonconventional* monetary policy by directly buying or selling long-dated Treasuries and a large variety of (sometimes very) risky credit instruments. *Quantitative easing* falls in this series of nonconventional programs. Before the financial crisis, experts would have called you crazy if you had suggested that monetary policy would now be conducted by the direct purchase of commercial paper (CP), agency debt, and debt of government-sponsored enterprises (Fannie Mae, Freddie Mac, and the Federal Home Loan Banks), residential mortgage-backed securities, commercial mortgage-backed securities, collateralized debt obligations, and so on, plus direct loans to JP Morgan Chase (“Maiden Lane”), AIG (“Maiden

in Meltzer (2003). The locations of the Federal Reserve Banks largely correspond to the main areas of economic activity at the time of the creation of the Federal Reserve System in 1913: Atlanta, Boston, Chicago, Cleveland, Dallas, Kansas City, Minneapolis, New York City, Philadelphia, St. Louis, and San Francisco. The one exception is the former capital of the Confederacy, Richmond, which was selected largely because it was in the home constituency of Carter Glass, the Democratic congressman who helped write the Fed’s enabling legislation. The regional Federal Reserve Banks are owned by commercial banks, but the stock is not tradeable. The Federal Reserve Board of Governors is an independent federal agency. For more information on Fed governance, see Gerdesmeier, Mongelli, and Roffia (2007), who also compare the Fed with the European Central Bank and the Bank of Japan. Full disclosure: I have received consulting fees from the Federal Reserve Board of Governors and the Federal Reserve Bank of New York.

³ The standard reference is actually by the former Fed Chair, Bernanke and Blinder (1988).